

Question 2

Answer the following questions.

[2x6=12]

- Demonstrate the application of the rule of debit and credit in accounting. Show how this fundamental principle governs the recording of financial transactions and ensures accuracy in financial statements.
- What is Going Concern Concept?
- Within the context of growing start-ups, analyse the application of the matching principle in accounting. Explore how this principle impacts financial reporting.
- Define Double Entry System.
- Give full form of c/d & b/d.
- Who is a debtor?

SECTION B

[2x10=20]

Question 3

Journalise the following transactions and prepare bank account & drawings account:

[10]

Date		Amount (₹)
2022 April 1	Paid into bank for opening a current account	20,000
2022 April 2	Withdrawn for private expense form bank	1000
2022 April 3	Withdrawn from bank for office	3000
2022 April 4	Withdrawn from office for private use	2000
2022 April 10	Received a cheque from Raj & Co to whom goods were sold for 20,000 last year.	
2022 April 15	Purchase goods from X&Co.	7000

Question 4

[5+5=10]

- BrightTech Solutions provides IT consulting services to businesses in various industries. Mark Johnson, the company's founder and CEO, recognizes the importance of effective financial management to ensure the company's growth and sustainability. In the context of BrightTech Solutions, please distinguish between accounting and bookkeeping.
- Accounting cycle is systematic process that helps businesses to maintain accurate financial records and make informed decisions, discuss the steps in chronological order.